NATIONAL COMPANY LAW TRIBUNAL
NEW DELHI BENCH (COURT- IV)
C.A.(CAA)-33/ND/2022

IN THE MATTER OF SCHEME OF ARRANGEMENT:

AMONGST

INTEGRAL BIOSCIENCES PRIVATE LIMITED
... Applicant No.1/Demerged Company

AND

INTEGRAL BIO SERVICES PRIVATE LIMITED
...Applicant No.2/ Resulting Company

AND

THEIR RESPECTIVE SHAREHOLDERS AND CREDITORS

Order Delivered on: 04.05.2022

Section: 230 to 232 of the Companies Act, 2013

CORAM

SH. DHARMINDER SINGH, HON'BLE MEMBER, (J)
SH. HEMANT KUMAR SARANGI, HON'BLE MEMBER, (T)

ORDER

PER- SHRI DHARMINDER SINGH, MEMBER- JUDICIAL

Under consideration is the Application No. C.A.(CAA)33/ND/2022 filed under Sections 230 to 232 of the Companies Act, 2013. The prayer is made seeking dispensation/directions with respect to the meetings of shareholders and creditors of the Applicant Companies to consider the Scheme of Arrangement.

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The said Scheme of Arrangement, proposes Demerger of a part of the business of an existing company to its newly formed wholly owned subsidiary.

2. M/s Integral Biosciences Private Limited, (hereinafter referred as the **"Demerged Company")** having CIN no. U73100DL2007PTC162147, is a Company limited by Share, incorporated under the Companies Act, 1956 on 17.04.2007. The registered office of the demerged company is situated at 51-52,5th Floor, Geodre House, Nehru Place, New Delhi-110019.

3. M/s Integral Bio Services Private Limited, (hereinafter referred as the **"Resulting Company"**), having CIN no. U73100DL2021PTC386843 is a Private Company Limited by shares incorporated under the Companies Act, 2013 on 21.09.2021. The registered office of the resulting company is situated at 51-52,5th Floor, Geodre House, Nehru Place, New Delhi-110019.

4. The present application has been jointly filed by both the demerged and resulting company. The 'demerged' and 'resulting' Companies together are called 'Applicant Companies' hereinafter. That the Registered offices of all the Companies are in Delhi and therefore, the jurisdiction lies with this Bench.

5. It is seen from the record that the Board of Directors of all the Applicant Companies, vide separate meetings held on 23.09.2021, have approved the proposed 'Scheme of Arrangement'.

6. It is stated by the Applicant Companies that the following objectives are sought to be achieved by way of Arrangement:

> *a. "Pursuant to and under the provisions of Section 230 to 232 of the Companies Act, 2013 and other applicable provisions of the Act, as the case may be, and*

also in accordance with Section 2(19AA) of IT Act, the Demerged Company and Resultant Company propose, through this Scheme, for the demerger of the Discovery Services Division of Demerged Company into Resultant Company.

b. In addition, the proposed arrangement shall result in the following benefits, amongst others, to the Companies, their shareholders, creditors and other stakeholders:

i. Streamlining the operating structure.

ii. The management believes that the proposed demerger will result in creating enhanced value for shareholders and will also allow a focused strategy and specialization for sustained growth.

iii. Synergies expected to bring in cost savings in the marketing, selling and distribution expenses as well as give benefits of the economies of scale to the company.

iv. The nature of risk and return involved in the business of "Discovery Services Division" is distinct from the "Internal Discovery Division". Hence, transfer of "Discovery Services Division" would enable both the divisions to run and operate independently and in a more cohesive manner so as to run profitably and attract potential collaborators for the future growth and development of business by both the resultant Company as well as the Demerged Company.

v. The said transfer of "Discovery Services Division" would provide greater flexibility and visibility on the operational and financial performance of both the divisions and would provide higher degree of independence as well as accountability.

vi. The proposed demerger is likely to create synergies by consolidating ownership and will result in achieving a simple and transparent ownership structure.

vii. The proposed demerger will result in migration of entire discovery services division into one consolidated legal entity

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and will allow for greater operational flexibility in the market with greater brand recognition, improved agility and enhanced competitiveness resulting in better market share and improved capacity utilization.

viii. *The proposed demerger would attain more beneficial results for the shareholders, and creditors of the companies, and will not prejudice the interest of any concerned member/creditor or general public at large.*

ix. *The demerger will enable the resultant company to gain from the economies of scale and core expertise and integration of operations cum resources."*

7. All the Applicant Companies have filed their Affidavits in compliance of Section 230(2)(a) of Companies Act 2013, submitting therein that none of the Applicant Companies are under any prosecution/ investigation/ inquiry under Companies Act 2013.

8. The Applicant Companies have also placed on record the Certificate from the Statutory Auditors, confirming that their Accounting Standards are in conformity with the provision of Section 133 of the Companies Act 2013.

9. The Applicant Companies have filed their respective Memorandum of Association (MoAs) and Articles of Association (AoAs). The Applicant Companies have filed their latest Balance Sheets as on 31.03.2021.

10. The position regarding the Applicant Companies wise no. of Shareholders and Creditors and their Consent through Affidavits is summarised hereunder:

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Company	No. Of Equity Shareholders	Consent Given (%)	No. Of Secured Creditors	Consent Given (%)	No. Of Un-Secured Creditors	Consent Given (%)
Demerged Company	34	94.2%	3	100%	110	NIL
Resultant Company	2	100%	NIL	N.A.	1	100%

11. The applicants further affirmed that the Scheme is not prejudicial to the interests of the shareholders, and creditors of the applicant companies. Rather, the same may be beneficial to all the applicant companies and their respective shareholders, and creditors.

12. Taking into consideration the aforesaid facts and circumstances, following directions are issued: -

A. In relation to Demerged Company.

i. With respect to Equity Shareholders:

34 Equity shareholders, representing 94.2% of shareholding of the Demerged Company, have given their consent by way of affidavits, therefore the requirement of convening/holding the meeting of the Equity shareholders is dispensed with.

ii. With respect to Secured Creditors:

3 Secured Creditors of the Demerged company have given their consent by way of affidavits, therefore the

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requirement of convening/holding the meeting of the secured creditors is dispensed with.

iii. With respect to unsecured creditors:

There are 110 unsecured creditors of the Demerged Company. Since, the unsecured creditors have not given their consent, therefore, the meeting of unsecured creditors shall be held in terms of the following directions: -

a. The meeting shall be held on 11.06.2022 at 10 A.m. at the registered office of the Demerged Company.

b. The quorum of the meeting shall be 75% in-value.

B. In relation to Resulting Company.

i. With respect to Equity Shareholders:

Since, all the equity shareholders of the resulting company have given their consent affidavits in favour of the Scheme, therefore, the requirement of convening of the meeting of the equity shareholders is dispensed with.

ii. With respect to secured creditors:

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Since there are no secured creditors in the resulting company the requirement of meeting of the secured creditors does not arise.

iii. With respect to unsecured creditors:

The sole unsecured creditor of resulting company has given its consent affidavit in favour of the Scheme; therefore, the requirement of convening meeting of the unsecured creditor is dispensed with.

C. Shri. Gurmeet Pal Singh, +91-9416034405, is appointed as the Chairperson and Ms. Chitra Malhotra, +91-9212888057, is appointed as Alternate Chairperson and, Mr. Bhuvanesh Gupta, +91-9460540804, is appointed as the Scrutinizer for the meeting of the applicant companies, as has been directed to be convened by this Tribunal.

D. The Fee for the Chairperson for the aforesaid meeting shall be Rs. 1,50,000/- and the fee of the Alternate Chairperson and the Scrutinizer shall be Rs. 1,25,000/- each in addition to meeting their incidental expenses. The Chairperson will file their report within 2 weeks from the closing of the e-voting and/ or postal ballot.

E. The individual notices of the said meetings shall be sent as required and prescribed by the Companies Act, 2013 through registered post or speed post or through courier or through e-mail, 30 days in advance before the scheduled date of the meeting, indicating the day, date, place and time

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as aforesaid, together with a copy of scheme of arrangement and, a copy of explanatory statement. The prescribed form of proxy shall be sent along with and in addition to the above documents, any other documents as may be prescribed under the Act may also be provided.

F. That the applicant companies shall publish advertisement with a gap of at least 30 clear days before the aforesaid meetings, indicating the day, date, place and time as aforesaid, to be published in the English Daily 'Business Standard' (Delhi Edition) and Hindi Daily 'Jansatta' (Delhi Edition) stating the copies of Scheme, the Explanatory Statement required to be furnished pursuant to Section 230 of the Companies Act, 2013 and the form of proxy shall be provided free of charge at the registered office of the Applicant Companies.

G. Voting will be made through remote e-voting process in compliance with the guidelines issued by the Ministry of Corporate Affairs in this regard.

H. The Applicants shall individually send notice to the Central Government, the Income Tax Authorities, concerned Registrar of Companies, NCT of Delhi & Haryana, Official Liquidator, and any sectoral regulators who may have significant bearing on the operation of the applicant companies, along with copy of required documents and disclosures required under the provisions of Companies Act, 2013 read

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with Companies (Compromises, Arrangements, and Amalgamations) Rules, 2016.

I. All the aforesaid directions are to be complied with, strictly in accordance with the applicable law, including forms and formats contained in the Companies (Compromises, Arrangements, Amalgamations) Rules, 2016, as well as the provisions of the Applicant Companies Act, 2013 by the Applicants.

The application stands allowed in the aforesaid terms.

Let the copy of the order be served to the parties.

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(HEMANT KUMAR SARANGI)
MEMBER (TECHNICAL)

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(DHARMINDER SINGH)
MEMBER (JUDICIAL)

Pronounced today u/d Rule 151 of NCLT Rules, 2016 as the Hon'ble Member (Technical) Shri. Hemant Kumar Sarangi is not holding the Court today.

Vishal Rana
04-05-2022
Court Officer